EMPLOYMENT TRIBUNAL CLAIM - DR. R. WILLIAMS v VERACIER UK LTD

Faits

Dr. Rachel Williams, former Senior NDT Engineer, has filed an Employment Tribunal claim (Case No. 1400123/2025) for unfair dismissal and whistleblowing detriment. Dr. Williams alleges she was dismissed after raising concerns about the adequacy of NDT procedures on certain MRO inspections. She claims automatic unfair dismissal under s.103A ERA 1996.

Analyse Juridique

Veracier UK maintains the dismissal was for redundancy. However, the proximity of the dismissal (3 weeks after the whistleblowing) creates a significant risk of the tribunal inferring causation.

Recommandation

Seek early settlement. ACAS conciliation recommended. Provision: GBP 85,000 (12 months' salary plus injury to feelings award).

The Supplier warrants that it holds all necessary authorizations, licenses, and permits required for the performance of its obligations. The Supplier shall promptly notify the Customer of any change that may affect its ability to perform.

The provision has been measured in accordance with IAS 37, based on the best estimate of the expenditure required to settle the obligation at the reporting date, discounted at a risk-free rate of 3.2%.

The Group's litigation history in comparable matters shows an amicable resolution rate of approximately 65%, with settlement amounts averaging 45% of the initial claim.

Each Party shall comply with all applicable laws and regulations, including without limitation anti-bribery legislation (UK Bribery Act 2010, US FCPA), data protection laws (GDPR, UK Data Protection Act 2018), and export control regulations.

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of such provision or of the right to enforce it at any time thereafter.

Neither Party shall, during the Term and for twelve (12) months thereafter, directly or indirectly solicit or hire any employee of the other Party who was involved in the performance of this Agreement.

The 2% royalty rate on net sales for intra-group IP licenses is consistent with the benchmarking study results, where the interquartile range spans from 1.5% to 3.0%.

The impairment test of goodwill was performed in accordance with IAS 36, based on discounted cash flow projections using a WACC of 9.5%. No impairment loss was recognised.

The Legal Department recommends appointment of a mediator accredited by the Centre for Effective Dispute Resolution (CEDR) to attempt settlement before the commencement of substantive proceedings.

The matter will be monitored by the Legal Department in coordination with external counsel. A progress update will be presented to the Audit Committee at its next quarterly meeting.

The Legal Department has identified a contagion risk, as the facts underlying the claim may be replicated at other production sites within the Group.

The limitation period for the action is six (6) years from the date of the cause of action under the Limitation Act 1980 (England and Wales). The period expires on or about 15 March 2028.

The Country-by-Country Report has been prepared in accordance with OECD BEPS Action 13 guidelines and filed with the relevant tax authority within the statutory deadline.

This Agreement constitutes the entire agreement between the Parties with respect to its subject matter and supersedes all prior negotiations, representations, and agreements, whether written or oral.

Pursuant to the Group's disclosure obligations, this matter must be reflected in the notes to the consolidated financial statements as a contingent liability, without specifying the provision amount to avoid prejudicing the Group's position.

The Supplier shall implement and maintain environmental management practices in accordance with ISO 14001 and shall comply with REACH and RoHS regulations. Material Safety Data Sheets shall be provided upon request.

Any amendment to this Agreement shall be in writing and duly executed by authorized representatives of both Parties. No oral modification or waiver shall be binding upon either Party.

The statutory auditors have raised an observation regarding the nuclear decommissioning provision, recommending that the actuarial assumptions be reviewed by an independent actuary.

The German entity's taxable income has been adjusted for permanent differences between IFRS and German tax rules (HGB), particularly regarding depreciation methods and provisions.

The tax treatment of the litigation provision has been reviewed by the Finance Department. The provision is tax-deductible subject to compliance with HMRC guidelines.

An examination of notification obligations to insurers has been completed. The claim notification was submitted within the contractual timeframe.

In the event of regulatory changes materially affecting the terms of this Agreement, the Parties shall negotiate in good faith to amend the Agreement within a reasonable timeframe.

The provision amount has been determined based on the best estimate of the expenditure required to settle the present obligation at the reporting date, taking into account the risks and uncertainties inherent in the matter.

A review of cross-indemnity provisions among Group entities has been initiated to determine which entity bears the ultimate financial burden of the litigation.

The conclusions of this legal analysis are subject to legal professional privilege and must not be disclosed to third parties without the prior approval of the General Counsel.

The provision movement schedule shows a net charge of EUR 3.2 million for the year, primarily driven by litigation provisions (+EUR 1.8M) and restructuring provisions (+EUR 1.4M).

Budget variance analysis shows a 4.2% overrun on production costs, primarily attributable to raw material price increases (titanium +18%, specialty steel +12%) during the second half of the year.

The legal risk analysis has been conducted in accordance with IAS 37 principles concerning provisions, contingent liabilities, and contingent assets. The probability of the risk materializing has been assessed on a three-tier scale: probable, possible, or remote.

The Customer reserves the right to audit the Supplier's facilities, records, and quality management systems upon fifteen (15) business days' prior written notice, to verify compliance with this Agreement.

The risk of an adverse costs order has been factored into the provision estimate, with additional exposure estimated at between GBP 50,000 and GBP 150,000.